

Days to ultimate low. It takes about 2 months for price to reach the ultimate low. Notice that the decline is farther (price) and shorter (time) in bear markets than in bull markets. Thus, the decline must be steeper in bear markets. In fact, the drop happens twice as fast as it rises.

How many change trend? This item is a count of how many patterns see price move more than 20% after the breakout. I like to see values above 50%, but that's for upward breakouts. Even though price drops in bear markets, we still see 52% making such large drops. That's terrific.

[Table 41.3](#) shows failure rates. The best performance is from head-and-shoulders tops in bear markets because they have the lowest failure rates. For example, 5% of the patterns fail to see price drop more than 5%. Another example: Nearly half (48%) fail to see price drop more than 20% in bear markets. That performance is even worse in bull markets when 71% of them fail to drop more than 20%.

Notice how failure rates climb for small changes in the maximum price decline. The rate triples and then almost doubles as the decline moves from 5% to 15% (bear markets). The numbers should serve as a warning that as reliable as a head-and-shoulders pattern is, not all patterns perform equally well. Monitor your trade and use stops to limit losses. As price drops, trail the stop lower if you are so inclined.